better priced orders,[743] which would improve transparency regarding the better priced quotations available in the market and the ability of market participants to access these quotations.[744]

In the MDI Adopting Release, the Commission analyzed data from May 2020 on the portion of all corporate stock and ETF volume executed on an exchange, transacted in a quantity less than 100 shares, at a price better than the prevailing NBBO, occurring in a quantity that would be defined as a round lot under the MDI Rules.[745] The Proposing Release repeated this analysis using data for the dates March 25-31, 2022.[746] Both analyses demonstrated that the round lot definition adopted in the MDI Rules will capture significant percentages of better priced odd-lot orders for NMS stocks with an average closing price greater than $250.00.

The Commission has updated this analysis from the Proposing Release with data from October 2023. As discussed below, upon further consideration and evaluation of comments, the Commission is adopting modifications to the round lot definition to require less frequent round

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743 Orders currently defined as odd-lots often reflect superior pricing. See MDI Adopting Release, supra note 10, at 18616 n.241 (describing analysis of data from May 2020 that found that "approximately 45% of all trades executed on exchange and approximately 10% of all volume executed on exchange in corporate stocks and ETFs occurred in odd-lot sizes (i.e., less than 100 shares), and 40% of those odd-lot transactions (representing approximately 35% of all odd-lot volume) occurred at a price better than the NBBO"). More recent data and updated analyses confirm that these pricing patterns in odd-lot trading have continued. See Proposing Release, supra note 11, at 80296.

744 See MDI Adopting Release, supra note 10, at 18601, 18615, 18742, 18744-45. In the MDI Proposing Release, the Commission explained the importance of increasing transparency into odd-lot quotation information by demonstrating that odd-lot transactions make up a significant proportion of transaction volume in NMS stocks (including ETPs), through provision of the daily exchange odd-lot rate (i.e., the number of exchange odd-lot trades as a proportion of the number of exchange trades) for corporate stocks and ETPs in 2018 and in June 2019. See Securities Exchange Act Release No. 88216 (Feb. 14, 2020), 85 FR 16726, 16739 (Mar. 24, 2020) ("MDI Proposing Release"). For this release, Commission staff repeated this analysis to determine the daily exchange odd-lot rate for 2023. Based on data from the Commission's MIDAS analytics tool, the daily exchange odd-lot rate for all corporate stocks ranged from approximately 61% to 70% of trades and the daily exchange odd-lot rate for all ETPs ranged from 31% to 42% of trades in 2023. Accordingly, accelerating the implementation of the round lot and odd-lot information definitions will increase the pre-trade transparency of better priced orders that are prevalent in the national market system.

745 See MDI Adopting Release, supra note 10, at 18612 (Table 1).

746 See Proposing Release, supra note 11, at 80296-97 (Tables 1 and 2).

lot adjustments so that they occur on a semiannual basis, rather than on a monthly basis and the calculation of the average closing price on the primary listing exchange will be based on a one-month "Evaluation Period."[747] The updated analysis accounts for the modifications to the round lot definition and is based on data from October 23-27, 2023, using a March 2023 Evaluation Period to be consistent with the adopted rule.[748] The updated analysis demonstrates that the round lot definition, as amended, will capture significant percentages of better priced odd-lot orders.

Tables 1 and 2 examine the portion of all corporate stock and ETP share volume and trades executed on an exchange, transacted in a quantity less than 100 shares, at a price better than the prevailing NBBO, occurring in a quantity defined as a round lot under the MDI Rules, as amended by the Commission.

Table 1

Round Lot Tier	Round Lot Size	Portion of all corporate stock and ETP share volume executed on an exchange, transacted in a quantity less than 100 shares, at a price better than the prevailing NBBO, occurring in a quantity that would be defined as a round lot under the MDI Rules as amended, for Oct. 23-27, 2023
$0-$250.00	100 Shares	0.00%
$250.01-$1,000.00	40 Shares	52.89%
$1,000.01-$10,000.00	10 Shares	76.89%
$10,000.01 or more	1 share	100.00%

[747] See infra section V.B.3.b.iv. Amended Rule 600(b)(93)(iii) defines the Evaluation Period as (A) all trading days in Mar. for the round lot assigned on the first business day in May and (B) all trading days in Sept. for the round lot assigned on the first business day of Nov. during which the average closing price of an NMS stock on the primary listing exchange shall be measured by the primary listing exchange to determine the round lot for each NMS stock.

[748] See infra section V.B.3.b.iv. The analysis used the average closing price of the NMS stocks on their primary listing exchange for all trading days in Mar. 2023 and used those average prices to determine the size of the round lot for each stock in the universe. Those round lots were then applied to the analysis of the stocks' trading data for Oct. 23-27, 2023.

Source: Equity consolidated data feeds (CTS and UTDF), as collected by MIDAS; NYSE Daily TAQ.

Table 2

Round Lot Tier	Round Lot Size	Portion of all corporate stock and ETP trades executed on an exchange, transacted in a quantity less than 100 shares, at a price better than the prevailing NBBO, occurring in a quantity that would be defined as a round lot under the MDI Rules as amended, for Oct. 23-27, 2023
$0-$250.00	100 Shares	0.00%
$250.01-$1,000.00	40 Shares	13.79%
$1,000.01-$10,000.00	10 Shares	26.63%
$10,000.01 or more	1 share	100.00%

Source: Equity consolidated data feeds (CTS and UTDF), as collected by MIDAS; NYSE Daily TAQ.

The Proposing Release also included the results of a simulation conducted by the Commission, using exchange direct feed data from MIDAS for every trading day in March 2022, to create a mockup competing consolidator feed that included quotation information for a sample of NMS stocks priced at or over $250.01 using the priced-based round lot sizes adopted in the MDI Rules' round lot definition as opposed to the round lot sizes that are defined in current exchange rules (typically 100 shares).[749] Snapshots of this simulated feed were compared against snapshots of the exclusive SIP feed for the sample of NMS stocks at the same point in time. For two of the three round lot price tiers above $250.01, the simulated competing consolidator feed showed better prices, on average, than the exclusive SIP feed.[750]

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749 See supra note 66.

750 See Proposing Release, supra note 11, at 80297 (stating, "[f]or stocks priced between $250.01 and $1,000.00 per share, which will have a round lot size of 40 under the round lot definition, the price

The Commission has updated this analysis using exchange direct feed data from MIDAS for every trading day in November 2023 and to account for the modifications to the round lot definition.[751] Like the prior analysis, the Commission conducted a simulation of a competing consolidator feed that provides quotation information for a sample of NMS stocks priced at or over $250.01 using the priced-based round lot sizes adopted in the MDI Rules' round lot definition as opposed to the round lot sizes that are defined in current exchange rules (typically 100 shares).[752] Snapshots of this simulated feed were compared against snapshots of the exclusive SIP feed for that NMS stock at the same point in time. For two of the three price tiers and corresponding round lot sizes, the simulated feed showed better prices, on average, than the exclusive SIP feed.[753] For stocks priced between $250.01 and $1,000.00 per share, which will have a round lot size of 40 under the round lot definition, the price reflected in the simulated competing consolidator feed was better than the exclusive SIP feed 31.93% of the time and worse less than .1% of the time. For stocks priced between $1,000.01 and $10,000.00 per share, which will have a round lot size of 10 under the round lot definition, the price reflected in the

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reflected in the simulated competing consolidator feed was better than the exclusive SIP feed 21.47% of the time and worse less than .1% of the time. For stocks priced between $1,000.01 and $10,000.00 per share, which will have a round lot size of 10 under the round lot definition, the price reflected in the simulated competing consolidator feed was better than the exclusive SIP feed 64.67% of the time and worse less than .1% of the time."). For the third round lot price tier above $250.01, for stocks priced $10,000.01 or more, the Proposing Release stated that there was one stock that was priced over $10,000 per share and was already quoted in one-share round lots on the exclusive SIP feed; therefore, the simulated feed and exclusive SIP feed showed the same prices for the stock. Id. at 80297 n.369.

751 The Commission assigned a sample of NMS stocks to a round lot tier based upon their average closing prices on the primary listing exchange during Sept. 2023 to account for the adopted definition of Evaluation Period under the round lot definition, which states that the Evaluation Period for the round lot assigned on the first business day of Nov. would be all trading days in Sept. See amended Rule 600(b)(93)(iii).

752 See supra note 66.

753 In the third price tier, which defines a round lot for stocks priced $10,000.01 or more per share as an order for the purchase or sale of an NMS stock of one share, only one stock, which is already quoted in one share round lot on the exclusive SIP feed, was priced over $10,000 per share, so the simulated feed and exclusive SIP feed showed the same prices for this stock.

simulated competing consolidator feed was better than the exclusive SIP feed 80.77% of the time and worse less than .2% of the time. The updated analysis continues to demonstrate that the simulated competing consolidator feed, which reflects the round lot sizes adopted in the MDI Rules' round lot definition, provides better prices than the exclusive SIP feeds, which reflect the prior round lot size, in NMS stocks priced over $250.01, even with the modifications to the round lot definition.[754]

2. Proposed Acceleration of Round Lot Definition

The Commission proposed to accelerate the implementation of the round lot definition set forth in Rule 600(b)(93).[755] Specifically, the Commission proposed to require compliance with the round lot definition 90 days from Federal Register publication of any Commission adoption of an earlier implementation of the round lot definition.[756]

In the MDI Adopting Release, the Commission stated that "sequencing [round lot implementation] after the parallel operation period is important to avoid either: (1) potential confusion and market disruption that could result from two different round lot structures operating at the same time; or (2) imposing reprogramming costs on the exclusive SIPs for a limited time period prior to their retirement."[757] However, because full implementation of the

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754 See supra note 750.

755 See supra note 718.

756 See Proposing Release, supra note 11, at 80300.

757 MDI Adopting Release, supra note 10, at 18701. The Commission stated that "the consolidated market data products offered by competing consolidators during the initial parallel operation period would be based on the current definition of round lot." Id. at 18700. However, because the Commission is accelerating the implementation of the round lot definition, the exclusive SIPs will be providing SIP data that reflects the new round lot sizes during the initial parallel operation period. Further, the acceleration of the implementation of the round lot definition will result in its use during the parallel operation period by both the exclusive SIPs and competing consolidators. See supra note 73 for a discussion of the parallel operation period; infra section VI.C for a discussion of the modified compliance deadline.

MDI Rules as adopted pursuant to the phased transition plan[758] likely will not occur until at least two years after new proposals to amend the effective national market system plan(s) are developed, filed and approved by the Commission,[759] the Commission proposed to amend the phased transition schedule of the MDI Rules to allow the benefits of the round lot definition to be made available to investors sooner.[760] The benefits identified in the MDI Adopting Release justify the costs of accelerating the implementation of the round lot definition in this rulemaking.[761]

Further, as part of accelerating the implementation of the round lot definition, the Commission proposed to amend the definition of "regulatory data" in Rule 600(b)(78) to require the indicator of the applicable round lot size to be provided to the exclusive SIPs for collection and dissemination.[762] The preexisting definition of "regulatory data" required the primary listing exchange for an NMS stock to provide to competing consolidators and self-aggregators an indicator of applicable round lot size.[763] The Commission proposed to add new paragraph (iv) to the definition of "regulatory data" to require the primary listing exchanges to also make the indicator available to the exclusive SIPs.[764] Referencing the round lot indicator adopted with regard to competing consolidators in the MDI Rules, the Commission stated that such an

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758 See supra notes 73-78 and accompanying text.

759 See Proposing Release, supra note 11, at 80295. See also MDI Adopting Release, supra note 10, at 18699-701. The two-year estimated timeframe includes the implementation of the round lot definition, which was scheduled to occur at the end of the transition plan.

760 See Proposing Release, supra note 11, at 80300-01.

761 See infra section VII.D.5.

762 Under the MDI Rules, the definition of regulatory data requires the primary listing exchange to make an indicator of the applicable round lot size to competing consolidators and self-aggregators. See Rule 600(b)(89)(i)(E), 17 CFR 242.600(b)(89)(i)(E). See also supra note 320.

763 17 CFR 242.600(b)(89)(i)(E).

764 See Proposing Release, supra note 11, at 80299.

indicator will "help market participants ascertain the applicable round lot size for each NMS stock on an ongoing basis"[765] and "reduce confusion as market participants adjust to the new round lot sizes."[766] For these same reasons, the Commission proposed to require this indicator to be provided to the exclusive SIPs for collection and dissemination.[767]

3. Comments and Response

a. Comments Supporting the Proposed Change

The Commission received comments in support of the proposed acceleration of the implementation of the round lot definition from individuals,[768] firms,[769] exchanges,[770] and associations.[771] Several commenters supported the proposed acceleration of the implementation of the round lot definition because they said that it would improve transparency[772] and enhance

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765 See Proposing Release, supra note 11, at 80299. For more details, see MDI Proposing Release, supra note 744, at 16762.

766 See Proposing Release, supra note 11, at 80299; MDI Adopting Release, supra note 10, at 18619.

767 See Proposing Release, supra note 11, at 80299. As discussed below, since the MDI Rules already require the primary listing exchanges to provide an indicator of the applicable round lot size to competing consolidators and self-aggregators, the incremental cost of providing this indicator to the two exclusive SIPs should be low. See infra section VIII.G.

768 See Comment Letters Type E, F, G, H, I, J, K, available at https://www.sec.gov/comments/s7-30-22/s73022.htm; see, e.g., Letters from Aron Tastensen (Feb. 23, 2023); Aswin Joy (Mar. 7, 2023); Abraham (Mar. 14, 2023); Andrew A. (Mar. 19, 2023).

769 See, e.g., XTX Letter at 5; BMO Letter at 2; Schwab Letter II at 36; Citigroup Letter at 3; Hudson River Letter at 2; Fidelity Letter at 9, 16; BlackRock Letter at 11-12; Vanguard Letter at 2.

770 See, e.g., NYSE Letter I at 7; Nasdaq Letter I at 3; MEMX Letter at 2, 4, 5-6; Cboe Letter II at 2, 10; IEX Letter I at 6, 30; Cboe Letter III at 10 and n.18. The Commission also received comment letters submitted by both exchanges and firms that supported the accelerated implementation of the round lot definition. See Cboe, State Street, et al. Letter at 2; NYSE, Schwab, and Citadel Letter at 2.

771 See, e.g., MFA Letter at 3, 13-14; Better Markets Letter I at 16-17; SIFMA AMG Letter I at 9; CCMR Letter at 22; FIA PTG Letter II at 4-5; ICI Letter I at 6-7; SIFMA Letter II at 34, 44; STA Letter at 8. See also AIMA Letter at 3 (stating that the Commission should prioritize the implementation of the round lot definition and the Rule 605 Proposal).

772 See Comment Letter Type E, I, available at https://www.sec.gov/comments/s7-30-22/s73022.htm; see, e.g., Letters from Bill Gilbert (Mar. 7, 2023); Richard Pasquali (Mar. 16, 2023); IEX Letter I at 6; MFA Letter at 13-14; XTX Letter at 5; Better Markets Letter I at 16-17; BlackRock Letter at 11-12 (stating that accelerated implementation of the round lot and the odd-lot information definitions would increase pre-trade transparency for investors); FIA PTG Letter II at 4; Hudson River Letter at 2; ICI Letter I at 6.

price discovery.[773] Several commenters stated that the proposed change would result in more accurate prices,[774] allow investors to make more informed trading decisions,[775] improve execution quality,[776] and reduce transaction costs and inefficiencies.[777]

One commenter supported the proposed acceleration of the implementation of the round lot definition because the commenter said it would narrow the NBBO spread by incorporating current odd-lot interest and "mak[ing] the notional size associated with the NBBO more uniform across stock price levels."[778] Another commenter supported the proposal because the round lot definition "would enhance the accuracy of the NBBO for high-priced stocks."[779] Some commenters supported the proposed acceleration of the implementation of the round lot definition because they stated that this change would restore public trust,[780] or because this change and the dissemination of odd-lot information by the exclusive SIPs would enhance reporting efficiency and reduce delays.[781] Commenters also supported the proposed acceleration

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773 See, e.g., XTX Letter at 5 (also referring to the proposed publication on the exclusive SIPs of odd-lots priced better than the NBBO); Cboe Letter II at 10, Cboe Letter I at 10 (stating that the proposed acceleration of the round lot definition and the display of odd-lot orders would improve price discovery and reduce spreads); ICI Letter I at 6.

774 See, e.g., IEX Letter I at 6 (referring to the proposed acceleration of the implementation of the round lot definition as well as the display of odd-lot orders).

775 See, e.g., MFA Letter at 13-14; Better Markets Letter I at 16-17; FIA PTG Letter II at 4.

776 See, e.g., MFA Letter at 13-14; Better Markets Letter I at 16-17; BlackRock Letter at 11 (stating that accelerated implementation of the round lot and the odd-lot information definitions would result in enhanced execution quality for investors).

777 See FIA PTG Letter II at 4.

778 See Hudson River Letter at 2.

779 See CCMR Letter at 22.

780 See, e.g., Letters Type E, G, J, available at https://www.sec.gov/comments/s7-30-22/s73022.htm; see also e.g., Letters from Christopher Nieto (Mar. 31, 2023); Michael Montalban (Mar. 31, 2023).

781 See, e.g., Letter Type K, available at https://www.sec.gov/comments/s7-30-22/s73022.htm.

of the implementation of the round lot definition because they stated that the round lot definition would result in lot sizes that would better suit the needs of investors.[782]

In the MDI Adopting Release, as well as the Proposing Release, the Commission described the benefits of the adopted round lot definition.[783] The Commission stated that the new round lot definition will "narrow NBBO spreads for most stocks with prices greater than $250,"[784] improve transparency and "the comprehensiveness of and usability of core data, facilitate the best execution of customer orders, and reduce information asymmetries."[785] The Commission also stated that the reduced round lot size for high priced NMS stocks would "better ensure the display and accessibility of significant liquidity for high-priced stocks."[786] Some commenters supported the proposed acceleration of the implementation of the round lot definition but stated that more time than proposed was needed for compliance.[787] As discussed later in this release, the Commission is providing more time to implement the round lot definition than the 90-days that was proposed for implementation.[788]

One commenter supported the proposed acceleration of the implementation of the round lot definition subject to "regulatory and industry-wide education to investors on the changes."[789]

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782 See, e.g., IEX Letter I at 30; BlackRock Letter at 11 (stating that the proposed acceleration of the implementation of both the round lot and odd-lot definitions would increase the usefulness of the exclusive SIPs because of the prevalence of current odd-lot sizes); MEMX Letter at 4; STA Letter at 8.

783 See Proposing Release, supra note 11, at 80296.

784 Id.

785 Id.

786 Id.

787 See, e.g., NYSE Letter I at 7; Nasdaq Letter I at 3; Fidelity Letter at 16; Cboe Letter III at 10 n.18.

788 See infra section VI.C.

789 See Fidelity Letter at 16.

As with many regulatory changes, investor education and notification may be useful so that investors better understand the implications of the size of their orders.

b. Comments Objecting to the Proposed Change

The Commission also received comments that raised objections to specific aspects of the proposed acceleration of the implementation of the round lot definition. These comments are addressed below.

i. Comments on the Interaction between the Round Lot Definition and the Proposed Minimum Pricing Increments

The Commission received comments that expressed concern about the potential impact of both the implementation of the round lot definition and the proposed changes to the minimum pricing increments.[790] Specifically, some commenters raised concerns about the potential impact of both proposed changes on liquidity and NBBO depth.[791] One commenter stated that smaller round lot sizes would make the NBBO "less robust, as a smaller amount of liquidity would now establish the NBBO benchmark," compounded by the proposed reduction in quoting tick sizes that would require liquidity to be dispersed in finer pricing increments.[792] One commenter stated that the proposed minimum pricing increments and "the round lot reforms" would be duplicative because they would both result in narrow spreads.[793] In addition, one commenter stated that the round lot definition and proposed minimum pricing increments "would significantly reduce

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790 See, e.g., Virtu Letter II at 10; Citadel Letter I at 26; ASA Letter at 6; Tastytrade Letter at 22; SIFMA Letter II at 34; Morgan Stanley Letter at 3. See also Nasdaq Letter I at 34 (stating that "an effective tick reform proposal may alleviate the need to speed implementation of the round and odd lot proposals.").

791 See, e.g., Virtu Letter II at 10; Citadel Letter I at 26.

792 See Virtu Letter II at 10.

793 See ASA Letter at 6.